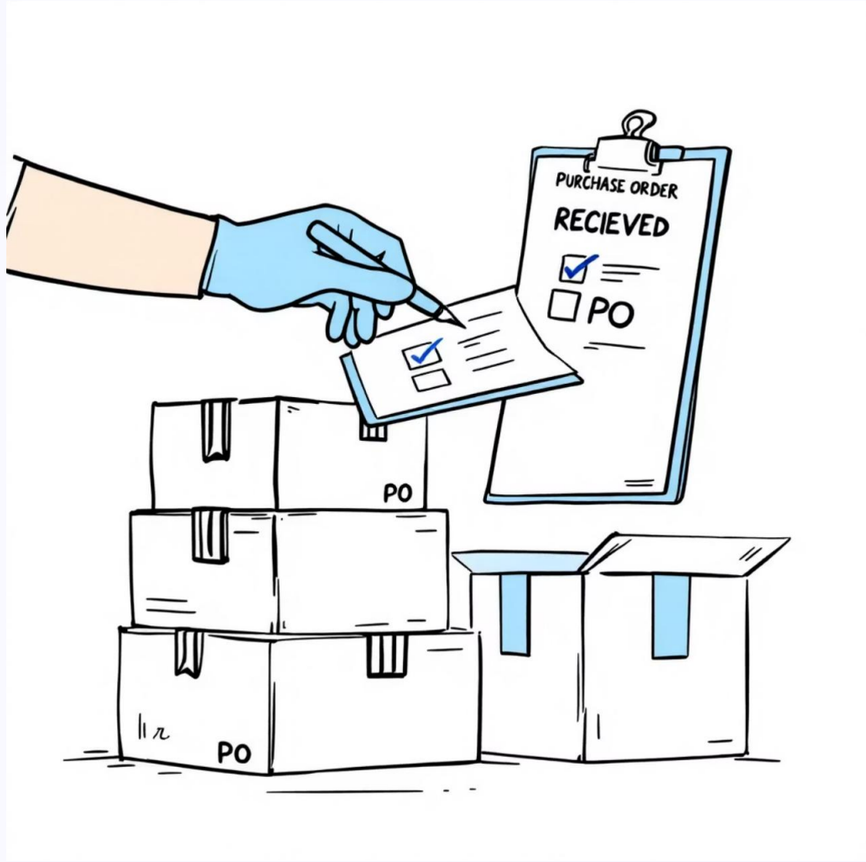
What Happens When the Boxes Arrive?

A simple guide to how companies receive, check, and close their Purchase Orders!

Receiving Means Checking What We Got!

- When supplies show up, we compare them to the **Purchase Order (PO)**.
- We make sure the right parts and amounts arrived.
- If everything matches, we mark them as **received!**



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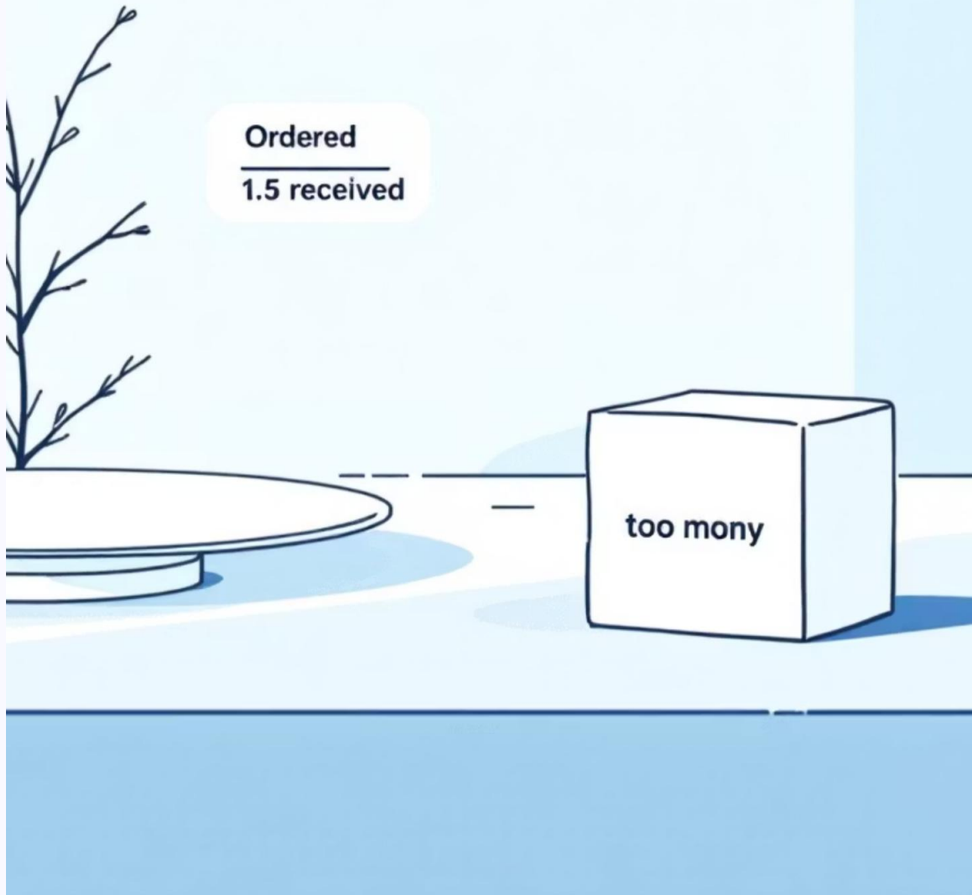
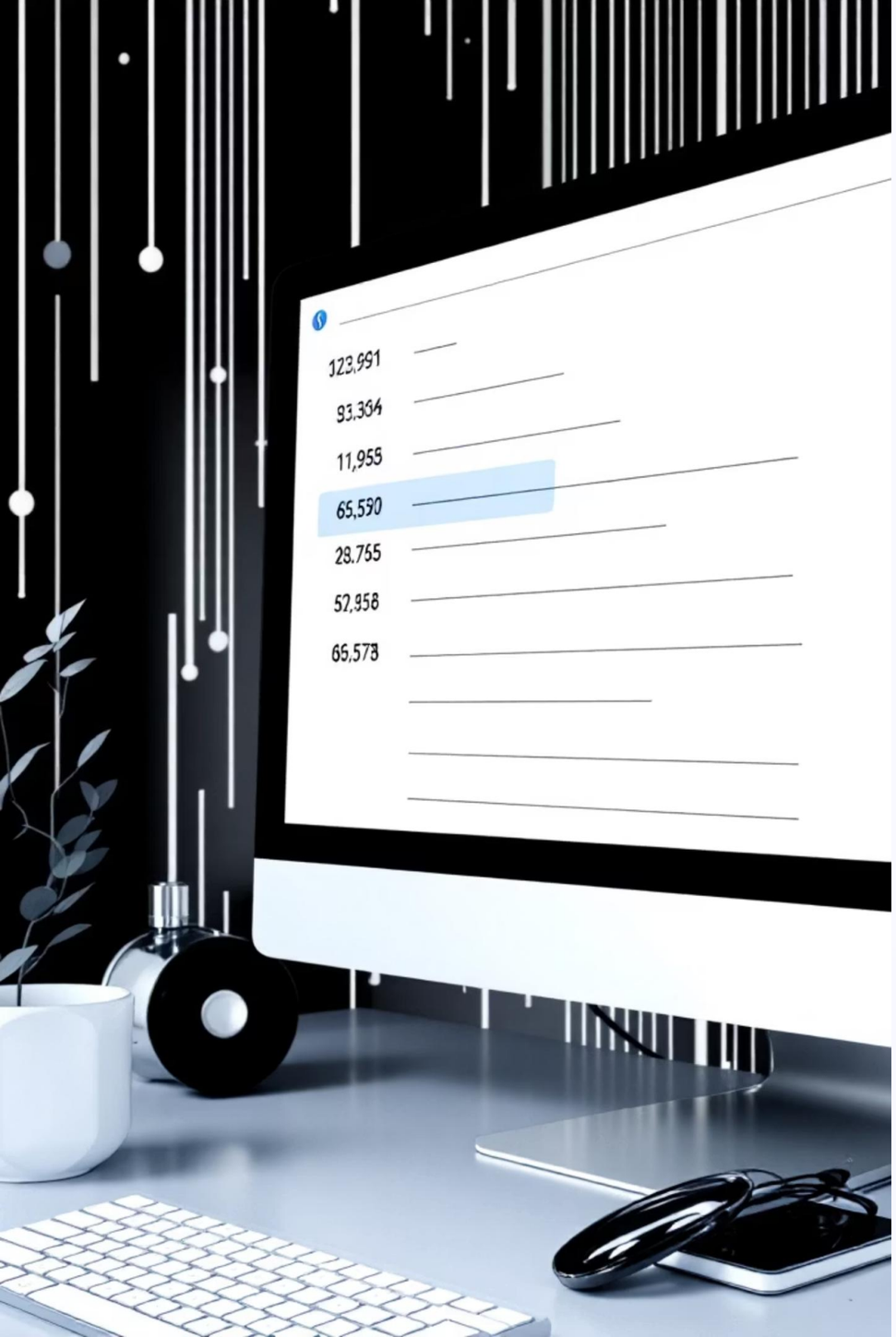
No Surprises Allowed!

We can never receive more than what was ordered.

Extra items create inventory problems.

Always double-check before clicking "Receive."





Step 1: Pick the Right PO

Choose the Order You're Receiving

1. The system lists **outstanding POs** waiting for delivery.
2. Click the PO number that matches your shipment.
3. Vendors can have **more than one open PO** at a time.

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Step 2: Record What Arrived

Count, Compare, and Confirm!

- Check each part line by line.
- Enter how many were **received.**
- The system prevents entering more than ordered.

Step 3: Handle Missing or Damaged Items

Sometimes Things Go Wrong!

If items are **missing or damaged**, mark them as **returned.**

Add a reason (like "broken" or "not shipped").

Returned parts don't increase inventory.

What If We Get Items We Never Ordered?

Unordered Items

01

Sometimes boxes arrive that **weren't on the PO.**

02

These are unordered items – we can't just keep them!

03

Record them as **returns** and add a reason like *"Not Ordered."*

04

Never add them to inventory – they must be **sent back** to the vendor.

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Step 4: Update the QOO and QOH

Keeping Inventory in Balance!

When we receive items:

QOO (Quantity on Order)
goes down

because fewer items are still on the way.

QOH (Quantity on Hand)
goes up

because the items are now in stock.

These two numbers move **in opposite directions** to keep the inventory correct.

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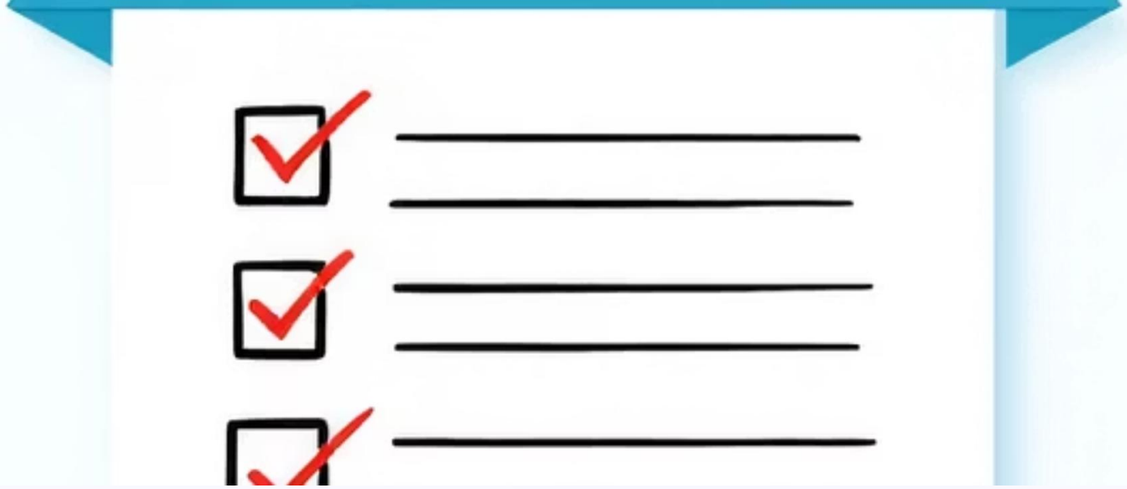

When Everything Is Here

Time to Close the Order!

When **all parts** are received, the PO is closed automatically.

Closed means no more receiving is needed.

We can now start new POs for that vendor.

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Force Close Situations

What If Nothing Else Is Coming?

1

Sometimes a vendor can't ship the rest (e.g., factory closed or items discontinued).

2

Use Force Close to finish the PO when no more items will arrive.

3

Subtract the outstanding amounts from the QOO to keep records accurate.

4

Always add **comments** explaining why the order was forced closed.

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🟩 Receiving Keeps Everything Accurate!

Understanding why receiving matters helps everyone trust the inventory system and work more efficiently.

Why It Matters

Receiving Keeps Everything Accurate!

Prevents mistakes and double-counting

Updates stock so we know what's really available

Helps everyone trust the inventory system

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🟦 Receiving in 6 Easy Steps!

01

Pick the PO

02

Record what arrived

03

Handle missing or damaged items

04

Return unordered items

05

Update QOO ↓ and QOH ↑

06

Close or Force Close

Quick Recap

Follow these steps in order: Select → Receive → Review → Update → Close.

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